

A New Value Proposition for the AMA



Outline

- Current Challenges
 - AMA's Role in Healthcare Reform
 - Needs of the providers, practitioners, and patients
 - Measuring value and enabling value throughout healthcare
 - Engaging providers, practitioners, and patients
 - Expanding the reach and membership of the AMA
 - Moving towards a new business model
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The Goal

- **Define a unified vision for delivering sustainable value for patients, practitioners, and providers:**
 - ☐ **To unify the distributed “system” of healthcare with patient-driven value.**
 - ☐ **To drive innovation & collaboration.**
 - ☐ **To align continuous improvement (quality and results) across the continuum of care.**
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The Vision

Value

- Patient-Driven



Quality

- Practitioner-Driven



Results

- Provider-Driven

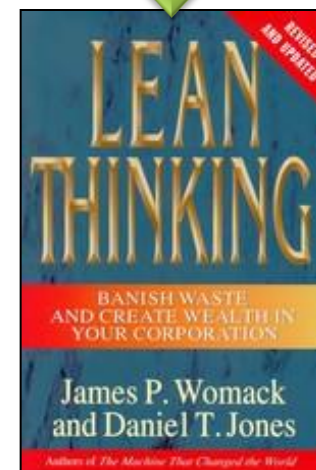
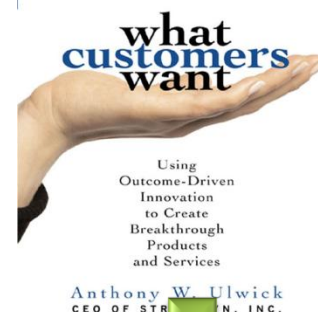


Drive LEAN with Value-Driven Measurement

1. Specify **value** in the eyes of the customer.
2. Identify the **value stream** and eliminate **waste**.
3. Make value **flow** at the pull of the customer.
4. **Involve** and **Empower** employees.
5. **Continuously** improve in the pursuit of **perfection**.



"Ulwick's outcome-driven programs bring discipline and predictability to the often random process of innovation."
—Clayton M. Christensen, best-selling author of *The Innovator's Solution*



Moving from Results-Driven to Value-Driven

Batch Thinking

Utilization

- Keep expensive assets heavily utilized
 - Machines
 - Doctors
- Queue Patients up
 - Convenience for staff



Patient Flow

Desired Outcomes

- Minimize the amount of time that patients are left waiting in corridors
- Minimize the likelihood that staff are rushing procedures (i.e. due to batch loading of orders)

Examples of Desired Outcomes

Category	Desired Outcome
Defects	Minimize the likelihood that the wrong label is placed on a patient's fluid sample
Overproduction	Minimize the likelihood that blood is drawn from patients when they are sleeping (i.e. during 4am shifts)
Transportation	Minimize the amount of time required to retrieve inventory.
Transportation	Minimize the number of handoffs between staff for inventory
Transportation	Minimize the number of handoffs between staff for information

Examples of Desired Outcomes

Category	Desired Outcome
Efficiency	Minimize the amount of time required to fill a centrifuge
Inventory Mgmt	Minimize the amount of supply on hand for inventory (i.e. 50 weeks of supply)
Transportation	Minimize the distance a pharma Technician needs to walk to retrieve a printout
Inventory Mgmt	Minimize the likelihood that expired inventory is retrieved (i.e. Date/Time stamp is not used)
Human Potential	Minimize the likelihood that ideas are not considered when submitted by staff (i.e. Med Techs, RN's ideas for improvement are often ignored)

Current Challenges

- Eroding member base.
- Aging membership.
- Decline in revenues from membership.
- Not perceived as an innovation leader.
- Value across the continuum of care is not measured from a patient (customer) perspective.
- Healthcare is fractionalized and becoming more distributed.
- The government is trying to lead healthcare reform.
- Need for clear leadership to drive reform, innovation, and unification across the healthcare continuum.

AMA's Role in Healthcare Reform

- A relevant voice that should be heard by the government.
- Provide healthcare stakeholders with the following answers:
 - Practitioners are worried about quality, timeliness, and effort of care
 - Patients are worried about quality of care, loss of control, and cost
 - Providers are worried about loss of control and revenue
- Opportunity for unifying leadership to provide guidance and direction for change (much of which will be disruptive).
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs in the US and across the world.
- Opportunity to create a “system” of healthcare guided by consistent value-driven metrics (outcomes).

Needs of the Patients

- To have affordable healthcare.
- To have attainable healthcare.
- To have more accessible healthcare.
- To have consistent levels of quality (results).
- To receive a total healthcare experience:
 - Ensure their functional outcomes met.
 - Ensure their emotional outcomes met.
 - Ensure their outcomes are met across the continuum of care (beyond the hospital, into clinics, and into the home).

Needs of the Practitioners

- To improve diagnostic capabilities in a cost-effective manner.
- To improve clinical processes.
- To provide consistent levels of quality.
- To move beyond service, where they can deliver a positive experience.
- To be able to reliably measure value for their patients, for themselves as individual practitioners , and for their practices.

Needs of the Providers

- To get pharmaceutical and device manufacturers, insurers, and healthcare suppliers to become aligned, unified and collaboratively focused on a consistent set of outcomes.
- To increase collaboration NOT competition.
- To understand how to identify, measure and deliver value throughout the healthcare value network.
- To move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public).

AMA's Opportunity to enable Value

- Innovate current business model to address the needs of the patients, practitioners, and the providers (3Ps).
- Use a disciplined process to capture and assess the needs of the 3Ps in a quantifiable manner.
- Provide a centralized repository of unbiased needs of the 3Ps to identify opportunities for measuring & creating value in US healthcare.
- License the repository information to the 3Ps to build a self-sustaining model for improving value delivery in healthcare
- Guide (and possibly drive) innovation in healthcare to create new value, while reducing the overall costs for the 3Ps.

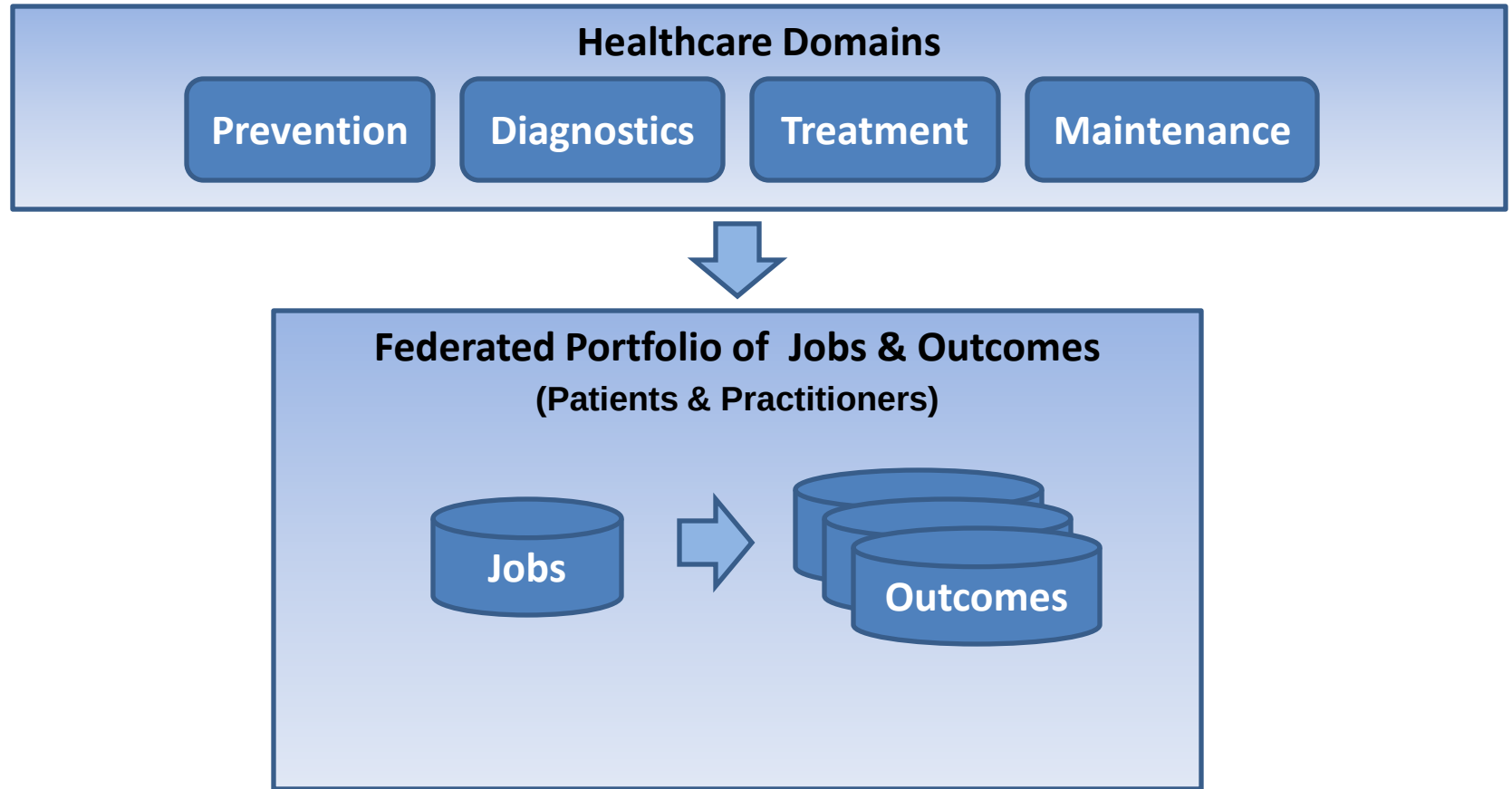
AMA at the forefront of Healthcare

- Defining & delivering the prescription for healthcare reform should come from within healthcare (not the government).
- Creating a vision for a new healthcare system by forming a collaborative model with healthcare advocacy organizations, institutions, providers and practitioners.
- Providing the practitioners with a consistent set of benchmarks for measuring the value they deliver to patients.
- Driving open innovation among providers to create a more efficient process for guiding and creating value.
- Working collaboratively with the government to guide more efficient and effective funding that drives healthcare reform.

Moving from Assumptions to Implementation

- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain.
- Build a portfolio of unmet needs (opportunities) for improving value delivery to patients and practitioners.
- Establish a prioritization model to direct resources in an efficient manner.
- Create an open innovation framework using the opportunities to generate ideas that can address the most important (prioritized) unmet needs.
- Establish a shared revenue model as part of a collaborative to address unmet needs.

Value Measurement Platform for Healthcare

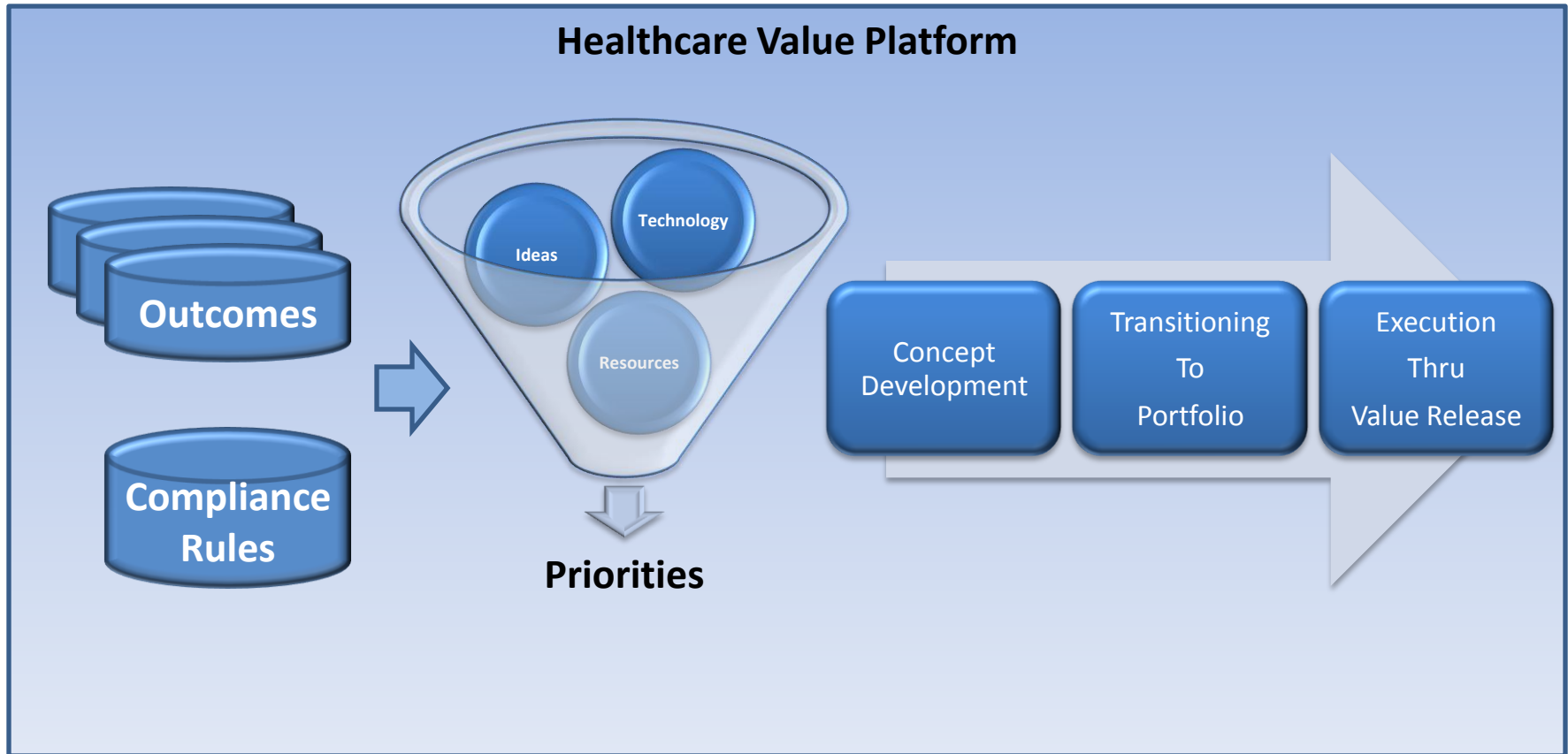


Value is measured through Outcomes => Outcomes are used to enable value

Measuring Value for Healthcare

- Build a portfolio of jobs & outcomes:
 - For measuring value
 - For capturing customer* needs
 - For guiding innovation
- * The focus is on Patients and Practitioners in the Healthcare Value Network

Enabling Value for Healthcare



Efficient value delivery for transforming healthcare and driving value

Expanding the AMA membership model

- The AMA intellectual property (IP) repository will provide the AMA with a unique value proposition to secure existing members and draw additional participants from across the healthcare value network (including patients) to expand the AMA's membership and revenue potential.

Expanding the AMA membership model

- Access to the information in the AMA intellectual property (IP) repository will:
 - Draw practitioners so they can more efficiently and effectively review and select products and services that can help them meet the patient outcomes.
 - Draw patients so they can review value-driven measures about providers, practitioners, products and services to make informed choices about their healthcare needs.

Expanding the AMA membership model

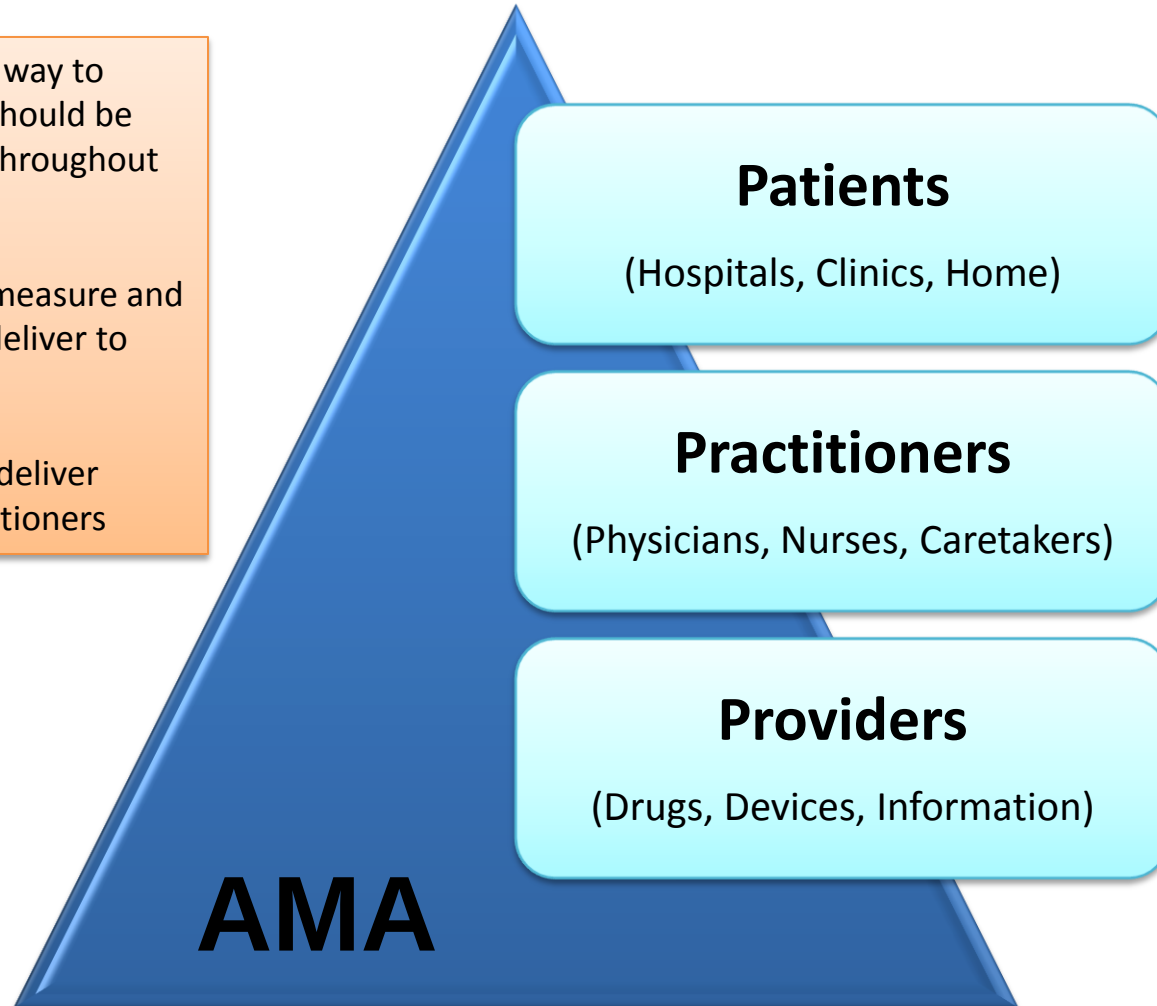
- Access to the information in the AMA intellectual property (IP) repository will:
 - Draw providers so they can optimize their IC processes to deliver more efficient and effective value to practitioners and patients.
 - Draw membership from private and public sectors who are interested in leveraging information to optimize care for their employees.

An Expanded Membership Model

Providing Patients with a way to measure the value they should be receiving for healthcare throughout the continuum

Guiding Practitioners to measure and optimize the value they deliver to Patients

Guiding the Providers to deliver value to Patients & Practitioners

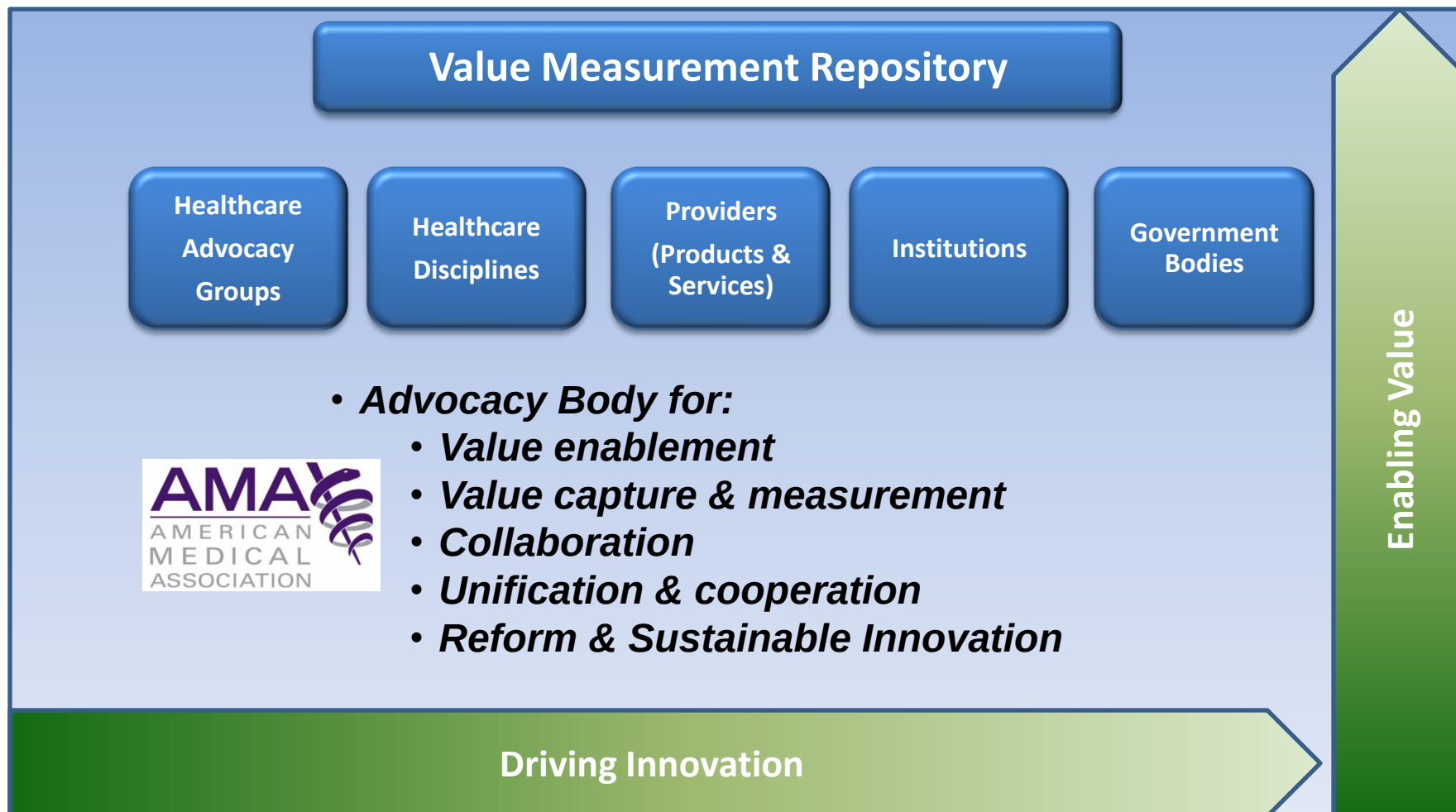




Reducing Costs & Driving Value

- Today...
 - We rely on a variety of measures to deliver value across an increasingly distributed network of healthcare participants (providers, practitioners)
- Tomorrow...
 - We will use patient-driven measures of value to:
 - **Unify the delivery of value to the patient across the continuum of healthcare**
 - **Ensure continuous improvement efforts focused on quality and results (efficiency and costs) align with value-driven metrics**
 - **Guide providers to build the right products & services for patients and practitioners**

Positioning the AMA to Lead Healthcare Reform



Thank You

- Prepared by
 - Jeffrey Wallk (Managing Partner)
 - Helene Sigman (Strategic Partner)

A New Business Model

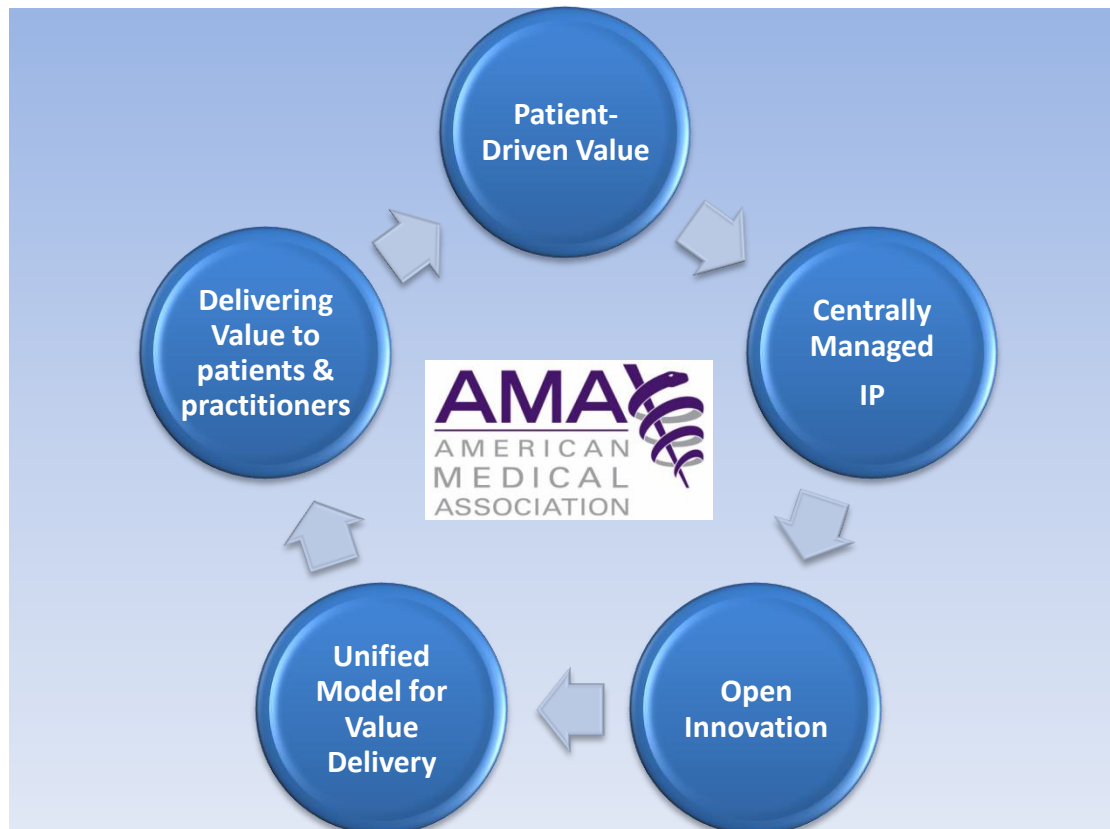


Enabling Value for Healthcare

- Build an innovation portfolio to drive value by:
 - Creating a portfolio of outcomes that can be used by the 3 Ps to measure value.
 - Creating a portfolio of opportunities (IP)*.
 - Leveraging open innovation to create a portfolio of ideas to address unmet needs.
 - Engaging innovators in a collaborative effort to create new products and services to solve the most important needs in healthcare.
 - Aligning sustainable value delivery within a system of healthcare.

A New Business Model for Creating Value

- Provides new value creation
- Repositioned for leading healthcare change
- Relevant to all Providers, Practitioners, and Patients
- Provides thought leadership for guiding change and innovation



- Orchestrates a unified value network for delivering efficient, affordable, and accessible healthcare to meet the unmet needs of customers
- Ensures value can be measured, improved, and sustained

Engaging Providers & Innovators

- Identifying priorities for healthcare upfront can:
 - Reduce the risks for investments in new products and services.
 - Focus 3rd party resources more efficiently.
 - Reduce the costs associated with investment planning.
 - Reduce the cycle time for new products & services addressing the most important needs in healthcare.

Engaging Providers & Innovators

- Using a managed IP model will:
 - Encourage open innovation to leverage mindshare across all disciplines to solve the healthcare needs.
 - Promote collaboration instead of competition for new products & services to:
 - Bring new efficiencies to research and development.
 - Reduce the costs and cycle time.
 - Level the intellectual capital (IC) playing field for all providers and innovators.

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide practitioners with a consistent set of metrics for measuring value with precision:
 - Covering the realm of healthcare locations (hospitals, clinics, alternate site, and home)
 - Covering the breadth of healthcare practitioners (physicians, nurses, pharmacists, specialists, etc.)
 - Covering the flow of patients and the care they receive across the continuum of healthcare
 - Provide the AMA with a consistent benchmark for evaluating healthcare products and services

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide patients with a consistent benchmark for selecting products, services, and practitioners to meet their healthcare needs.
 - Provide consistent outcomes and quality of care from prevention to support (continuum of care) for all patients.